

TRID: Required Disclosures

Most real estate transactions that involve mortgages must include specific loan disclosure forms that give consumers the information they need to make informed decisions about one of the most important financial transactions they'll ever participate in: buying a home. For many years, lenders have been required to provide this type of disclosure that help consumers determine:

- Whether they can afford the loan
- The relative cost of different loan offers, including the cost of the loan over time

Regulation Z

In 1968, the Federal Reserve Board enacted Regulation Z (Reg Z), which implemented the Truth in Lending Act (TILA). TILA requires that lenders disclose the annual percentage rate, loan terms, and total borrower costs before extending credit to borrowers.

In addition, the Department of Housing and Urban Development (HUD) implemented Regulation X, which in turn implemented the 1974 Real Estate Settlement Procedures Act (RESPA). RESPA requires lenders to provide various loan disclosures to borrowers at specific times. Under these provisions, lenders must disclose the following information to consumers:

- The loan type for which they're applying
- All loan fees
- A projected payment table
- Estimated closing (settlement) costs

In 2010, the Dodd-Frank Wall Street Reform and Consumer Protection Act went into effect, which changed previous RESPA and TILA requirements in a couple of ways. First, Congress made the Consumer Financial Protection Bureau (CFPB) responsible for RESPA and TILA.

This act also implemented TILA-RESPA Integrated Disclosures (TRID). TRID requires that lenders use the TRID disclosure forms—the Loan Estimate and Closing Disclosure—for all federally related new residential mortgage applications. The TRID disclosure forms aren't required for a cash or a seller-financed transaction, so the buyer and seller will likely see some other form of settlement sheet.

Risky or toxic loan features are also defined as:

- Payback terms longer than 30 years
- Negative amortization payment option (where the principal amount increases)
- Interest-only payments
- Balloon payments
- Lender fees and points that total more than 3% of the loan (which includes payments to all affiliates of the lender as well)

TRID and Tolerances

TILA and TRID require lenders to use good faith when disclosing fees to borrowers. The fees that must be disclosed include the interest rate, finance charges, number and amount of payments, and the total amount that will be financed. Consumers are provided with disclosures regarding the type of loan for which they were applying, all fees associated with that loan, and its payment schedule, as well as a full disclosure regarding the estimated costs they must pay with regard to closing (settlement). However, TRID also identifies three tolerance threshold categories for how much the amounts listed in the Loan Estimate may change when the Closing Disclosure is issued. There are three tolerance categories:

1. Zero (or no) tolerance (cannot change)
2. 10% (cumulative) tolerance (cannot increase by more than 10% when totaled)
3. Unlimited tolerance (any change is acceptable)

Lender fees may fall into each category, depending on whether those fees can change between the Loan Estimate delivery and the Closing Disclosure delivery, and, if so, by how much. Lenders must credit the borrower for any excess charges over the permissible limits.

How Lenders Provide the Forms

When borrowers apply for a mortgage loan, mortgage brokers and/or lenders must provide the Loan Estimate form (formerly known as Good Faith Estimate [GFE]). A lender can only collect a fee for the credit report from the applicant if it's collected before the Loan Estimate is issued.

The Loan Estimate (LE) is a federal form that lists details of proposed mortgage terms, including a written estimate of settlement charges the borrower will incur. This form outlines key mortgage loan features, costs, and risks. Borrowers must receive this form from loan originators within three business days after submitting their application and must acknowledge that they received the Loan Estimate. The borrower may also receive a list of settlement service providers from the lender. While the Loan Estimate

iron is hot, borrowers may investigate what rates other lenders are offering. It's a lot of information but the borrower is equipped to make informed loan and settlement decisions.

The Closing Disclosure (CD)(also known as the Buyer's Closing Disclosure or BCD) is a written, detailed statement of final loan terms, prorations, and closing costs that the borrower should compare to information on the Loan Estimate and the sales contract. Lenders must provide the Closing Disclosure to borrowers at least three business days before closing, which allows consumers time to compare final loan terms with the previous Loan Estimate. Lenders must have proof of receipt. Consumers can also use this three-day period to consider any questions they need to raise before closing.

Both the Loan Estimate and the Closing Disclosure were developed to make loan information easy to understand for consumers as well as all other parties involved. Important items, such as interest rates and monthly payments, are conspicuous. For example, the Loan Estimate displays the total interest the buyer will have paid off in five years.

These forms must be used for most consumer mortgages. However, they're NOT used for the following types of loans:

- Home equity lines of credit
- Reverse mortgages
- Mortgages secured by a manufactured home
- Mortgages secured by a dwelling that's not attached to real property (land)

In those cases, other disclosure requirements apply under RESPA and TILA.

Impact on Real Estate Professionals

How does this impact you as a real estate professional? Perhaps most importantly, TRID may increase the likelihood of closing delays because certain changes, especially those relating to the cost of the loan, trigger a new CD and a new three-day waiting period (because borrowers must receive the disclosure three days before closing).

What types of changes prompt the new three-day waiting period?

- Annual percentage rate increase of more than a 1/8 of a percent for a fixed rate or 1/4 of a percent for an adjustable rate mortgage
- The addition of a pre-payment penalty
- Changes to the basic loan product (such as switching from a fixed-rate to an adjustable-rate mortgage-but not switching from, say, an FHA loan to a conventional loan)

Other ways TRID impacts licensees:

- You should be able to explain the contents of both the Loan Estimate and Closing Disclosure to your clients.
- Lenders prepare the Closing Disclosure and deliver it to the borrower. While there was some early concern that licensees weren't entitled to see the Closing Disclosure, later clarifications in the law indicated that lenders may release the Closing Disclosure to the parties' respective agents.
- Lenders must receive all transaction documents 10 to 14 days before closing in order to meet the three-day Closing Disclosure delivery deadline.
- You are allowed to rebate part of your commission as an incentive to the buyer as a credit, but only if that rebate is not in any way the result of a referral according to RESPA.
- You're expected to be aware of the timing of disclosure delivery.

Additional Disclosures

In addition to the Loan Estimate and the Closing Disclosure, a lender must provide consumers with the following additional disclosures after loan consummation:

- **Escrow closing notice:** Lenders must provide this disclosure before canceling an escrow account for any consumer who has such an account (for example, if the loan requires that borrowers put insurance and property tax reserves in a lender escrow account).
- **Mortgage servicing transfer:** Lenders must disclose to borrowers whether they'll service the loan or sell/transfer/assign it to another lender prior to the change. Buyers must also be notified prior to the transfer of loan servicing.
- **Partial payment notices:** Lenders must disclose to borrowers whether they'll accept periodic payments that are less than the full amount due. This disclosure also includes whether partial payments are applied to a consumer's loan right away or whether the lender holds the payments in a separate account until the consumer pays the remainder of the full amount due.